



Scan for Insights

Compa Ratio (CR)

Compa Ratio is the ratio of the salary of an employee vis a vis the median salary of the job. If you divide salary increases with Compa Ratio. The increments will get balanced as shown in the table (All salary figures are in INR)

Employee Name	Current Salary (P)	COMPA RATIO (CR)	Salary Increase with 10% (Q)	Adjusted Salary increase with CR (R = Q / CR)	Revised Salary (INR)
Employee A	10,000	$\frac{10,000}{10,000} = 1.0$	1,000	$\frac{1,000}{1.0} = 1,000$	11,500
Employee B	20,000	$\frac{10,000}{20,000} = 0.5$	2,000	$\frac{2,000}{0.5} = 4,000$	21,500
Employee C	10,000	$\frac{10,000}{10,000} = 1.0$	1,000	$\frac{1,000}{1.0} = 1,000$	1,000

The compa ratio ensures that salary increases for a job are uniform and aims to keep closer to the median of the job salary range.

In the End

This brings us to the end of the compensation part which drives motivation. In the next part we will discuss the processes which contribute largely to hygiene and form the base for motivation.

Compensation is more about motivation than money.